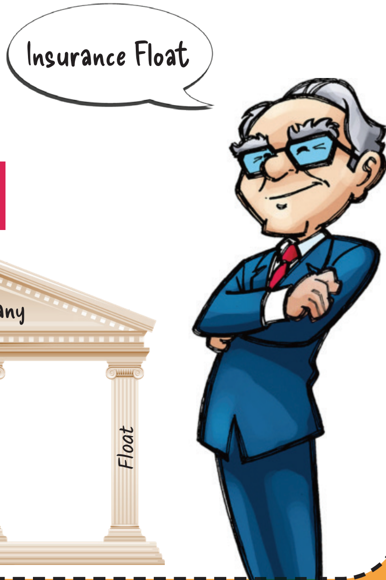
# 3.7 Understanding Float

In the previous unit, we discussed the different types of financial assets / financial items and the operating items. We will move forward and understand different ways how a company finances its business and about a unique way to do it - using "Float".

## Float

The famous investor and philanthropist Mr. Warren Buffet first used the term float. He used the term 'Insurance premium float'.



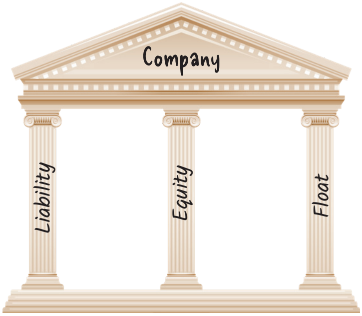

**Till now, you have learned that a company's liability side can be divided into two categories:**

1 *Liability*

2 *Equity*

He talks about a third component that can be used to fund a company's business.

3 *Float is the third type of item present on the liability side.*




## Liability

Liability refers to when a company borrows capital from a third party, pays interest on the same and agrees to repay the principal at a fixed time. The funds here belong to the lender.


## Equity

In the case of equity, the company dilutes its ownership by bringing new investors in the company.

The company is required to pay dividends and the investors also expect capital appreciation from the company. The capital though belongs to the company and they can invest it or utilize it the way they like. However, the profit earned belongs to the shareholders.

Float is not widely used from an academic point of view but very important from a practice point of view.